

debts (*f*), and on his decease his lands, as those of a trader, were liable under Sir Samuel Romilly's Act (*g*) to the discharge of simple contract debts (*h*); and now, by 3 & 4 W. 4, c. 104, the lands of all persons, traders or otherwise, are liable to their simple contract debts; and by 32 & 33 Vict. c. 46, simple contract debts are payable *pari passu* with specialty debts. But an executor carrying on a business in pursuance of the directions of a will, is entitled to be indemnified out of the estate, as against all persons claiming under the will, though not as against creditors who claim paramount to the will (*i*).

[*239] *32. **Shares in companies.** — If trustees be holders of shares in a company, their liabilities are the same as if they were the beneficial owners, though the fact of their trusteeship be noticed in the company's book (*a*).

Secondly. Of the legal estate in the trustee with reference to the construction of particular statutes.

[1. **How the legal estate is affected by the bankruptcy of the trustee.** — By the Bankruptcy Act, 1883 (*b*), it is enacted, that "all such property as may belong to or be vested in the bankrupt at the commencement of the bankruptcy, or may be acquired by or devolve on him before his discharge, shall, immediately on the debtor being adjudged bankrupt, vest in the trustee," and until a trustee is appointed, the official receiver is to be the trustee for the purposes of the Act.]¹

(*f*) *Farhall v. Farhall*, 7 L. R. Ch. App. 123; reversing S. C. 12 L. R. Eq. 98; *Owen v. Delamere*, 15 L. R. Eq. 134; [*Re Morgan*, 18 Ch. D. 93;] see *Hall v. Fennell*, 9 I. R. Eq. 615.

(*g*) 47 G. 3, c. 74. Repealed and re-enacted by 11 G. 4, & 1 Will. 4, c. 47.

(*h*) *Longuet v. Hockley*, Feb. 16, 1836, Exch. MS. See a short statement of this case at p. 273, note (*b*) of 3d edition; and see *Lucas v. Williams*, 3 Giff. 150.

(*i*) *Lucas v. Williams*, No. 2, 4 De G. F. & J. 439.

(*a*) *Re Phoenix Life Assurance Company*, 2 J. & H. 229; *Re Leeds Banking Co.*, *Fearnside's case*, *Dobson's case*, 12 Jur. N. S. 60; *Lumsden v. Buchanan*, 4 Macq. H. L. C. 950; *Imperial Mercantile Credit Association*, *Chapman and Barker's case*, 3 L. R. Eq. 361.

[(*b*) 46 & 47 Vict. c. 52, ss. 44, 54; and see the analogous sections 15 & 17 in the Bankruptcy Act, 1869, 32 & 33 Vict. c. 71.]

¹ *Bankruptcy.* — Insolvency or bankruptcy of the trustee does not necessarily cause a change in the trustee; *Shryock v. Waggoner*, 28 Pa. St. 430; and